Control Number: CEHNC-25-0003

FAR PART 6.302-1 JUSTIFICATION AND APPROVAL FOR OTHER THAN FULL AND OPEN COMPETITION

Program/Equipment: Utility Energy Services Contract (UESC), 88th U.S. Army Reserves Readiness Division (USARRD)

Authority: 10 U.S.C. 3204(a)(1) as implemented in FAR Part 6.302-1, "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements."

Amount: [redacted]

Contract Specialist: [redacted]

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Controlled by: Army
Controlled by: USACE-CEHNC
CUI Category: General Procurement and Acquisition
Distribution/Limited Dissemination Control: FEDCON
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Center/District Reviews

I have reviewed this justification and find it adequate to support other than full and open competition.

STEENBURN.LISA.LYNN.1058138955 Digitally signed by STEENBURN.LISA.LYNN.1058138955 Date: 2025.03.17 09:28:33 -05'00'

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[redacted]

[redacted]

[redacted]

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SCO-C&L and Headquarter Reviews

The following signatures indicate concurrence with the contents of this document.

[redacted]

[redacted]

[redacted]

[redacted]

CONCURRENCE:

[redacted]

[redacted]

FAR Part 6.302-1 Justification and Approval for Other than Full and Open Competition

1. Contracting Activity: U.S. Army Corps of Engineers (USACE), Huntsville Engineering and Support Center (CEHNC), 300 Secured Gateway, Redstone Arsenal, AL 35808.

2. Description of Action: This Justification and Approval (J&A) supports a request for CEHNC to execute a new Utility Energy Services Contract (UESC) pursuant to 42 United States Code (U.S.C.) § 8256, 10 U.S.C. § 2913, and 10 U.S.C. § 2866, on a sole source basis to Commonwealth Edison Company (ComEd), a utility company. Additionally, Defense Federal Acquisition Regulation Supplement (DFARS) 241.103(2) Statutory and Delegated Authority, authorizes the Department of Defense to enter into energy saving contracts pursuant to 10 U.S.C § 2913 for a period not to exceed 25 years. The award will implement energy conservation measures (ECMs) with a servicing utility for the design and implementation of life cycle cost-effective, energy conservation solutions that will meet the unique needs of the 88th U.S. Army Reserves Readiness Division (USARRD). If approved, a task order will be issued against ComEd's General Services Administration (GSA) Areawide Contract (AWC) GS-00P-16-BSD-1205 for Electric, Energy Management Services, and Services Provided under the Appropriate Regulatory Authority. This will be a firm-fixed price (FFP) task order (TO) utilizing Operation & Maintenance (O&M) funding.

3. Description of Supplies/Services: This FFP performance based TO will implement ECMs with ComEd for the design and implementation of life cycle cost-effective, energy conservation solutions that will meet the unique needs for seven different locations within the 88th USARRD, with a ROM estimate of [redacted] (see Table 1, Typical ECMs and Rough Order of Magnitude (ROM) Estimates, for details). Prior to implementation of ECMs, the utility company will deliver to the customer a Preliminary Assessment (PA), and then a detailed Feasibility Study (FS) with a fixed priced proposal which states the implementation and financing cost. UESCs are commercial performance-based services. The period of performance for this UESC is expected to be 1 July 2025 through 30 June 2050. Additional ECMs not listed in Table 1 may be considered and evaluated as necessary to ensure this UESC project will be able to repay the debt service utilizing financial savings obtained from the implementation of selected ECMs.

The ROM estimate is based on the effort at seven installations and includes the PA, an Investment Grade Audit (IGA), and the average price of installing lighting upgrades and improvements, Heating Ventilation and Air Conditioning (HVAC) upgrades, Battery Energy Storage System (BESS), Energy Management Control System (EMCS), and water efficiency and building envelope upgrades. This ROM is based on historical data from the UESC Program's previous stand-alone contracts or GSA task order awards, and with the expected inclusion of other ECMs as part of the PA. See Table 1 below for the ECMs to be evaluated during the PA.

Table 1: Typical ECMs and Rough Order of Magnitude (ROM) Estimates

ECMs	ROM Estimate
Lighting Upgrades	[redacted]
HVAC	[redacted]
Solar PV Array/Parking lot PV carports/BESS/Generation	[redacted]
EMCS	[redacted]
Water Efficiency	[redacted]
MDMS	[redacted]

Building Envelope Upgrades	[redacted]
Total	[redacted]

4. Authority Cited: 10 U.S.C. 3204(a)(1) as implemented by Federal Acquisition Regulation (FAR) 6.302-1, "Only Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements." Use of sole source authority under FAR 6.302-1 is expressly recognized as appropriate in FAR 6.302-1(b)(3), which states, "when acquiring utility services, circumstances may dictate that only one supplier can furnish the service."

5. Reason for Authority Cited:

a. Background:

A UESC is an acquisition between a Federal agency and a servicing utility for energy management services, including energy and water efficiency improvements, energy resilience, and demand reduction. Under the Energy Policy Act of 1992 (codified as 42 U.S.C. § 8256), Federal agencies are authorized and encouraged to participate in utility incentive programs that promote such improvements and that are generally available to the utility's customers.

The CEHNC UESC program negotiates contracts with local electric, gas and water utility companies that enable the utility companies to provide Federal agency customers with comprehensive energy and water efficiency improvements and demand reduction services. UESC projects can encompass a broad range of ECMs, including system upgrades and recommissioning, deep retrofit projects, renewable energy, cogeneration plants and microgrids. UESC gives Federal customers the flexibility to specifically tailor a project to a customer's energy needs and financing strategies. A UESC contract is a method whereby a selected local electric, gas or water utility company assesses the energy savings opportunities, fronts the capital costs, and designs and installs the equipment in the project. When project financing is required, the utility company is paid back over a fixed period of time from the resulting savings, using appropriations that would be used for the payment of energy expenses and related operation and maintenance expenses which would have been incurred without the UESC. Project development and implementation costs can be fully or partially financed or be completely paid for upon project acceptance.

The purpose of this effort is to provide the 88th USARRD with a third-party financed UESC to implement comprehensive energy and water efficiency improvements, as well as demand reduction services, across the following seven sites:

Table 2: 88th USARRD Locations to be Supported Under this Requirement

88th USARRD Locations:
Arlington Heights, IL
SGT James W. Robinson JR U.S. Army Reserve Center (USARC), Chicago, IL
North Shore Memorial USARC, Lake Forest, IL
Vietnam Veterans Memorial USARC (South), Homewood, IL
Machesney Park USARC/OMC, Machesney Park, IL
Elmwood USARC/JTA, Joliet, IL
Philip H Sheridan Reserve Center, Fort Sheridan, IL

b. Justification:

In accordance with FAR 6.302-1(b)(3), the use of other than full and open competition is justified for the acquisition of a UESC for the 88th USARRD. Furthermore, per 42 U.S.C. § 8256(c)(1) agencies are encouraged to enter into UESCs with gas, water, and electric utilities. Only servicing utilities are authorized to enter into UESCs. The 88th USARRD operates across seven distinct locations within the greater Chicago, IL area; however, only ComEd provides the electricity services across all seven sites. The sites are supplied water and gas from different utility providers, whereas only one electricity provider (ComEd) supports all the locations for the 88th USARRD. The need for consistent, reliable, and coordinated energy conservation solutions across all the 88th USARRD locations necessitates the use of a single servicing utility provider. Utilizing multiple utility providers for this requirement would not only complicate the design and implementation of the ECMs but would also result in inconsistent energy saving solutions and increased costs to finance each of the individual projects because the financier would not have the ability to spread the financial risk across the various projects. A sole-source acquisition with ComEd is therefore necessary and appropriate under these circumstances because this approach ensures that the cost-effective energy conservation solutions meet the unique operational needs of the 88th USARRD, while maintaining the reliability and consistency of energy services across all locations. Please reference Paragraph 8 below for greater detail on the market research results.

c. Alternatives Considered:

Based on Federal law, only authorized utility service providers may enter UESC contracts. Market research identified four non-utility firms interested, but by law, they are not eligible for this requirement. The alternative utility providers that serviced the various sites were not capable of being the prime contractor for this project. One of the utility providers that did respond, Southern Gas Company/NICOR (NICOR), only provided services at 4 of the 7 sites, thus they cannot perform work at all seven sites as required.

Consideration was given for issuing two, or up to seven solicitations for the seven individual sites, but this solution was cost restrictive based on the fixed acquisition costs for procurement and administration which is estimated to be approximately $250k per solicitation broken out with 22% for Program Management, 20% for Engineering Directorate, 8% for Safety, 35% for Contracting, and 15% Miscellaneous. There are seven sites being considered for this UESC action, which means the Government would potentially have to fund an additional $1.5M in CEHNC's labor [(6 additional solicitations x $250k/solicitation)].

Option 1: Solicit for each site individually for a total of seven solicitations. Based on the market research, the most likely outcome would be that up to four of the solicitations may result in two offers received, and the other three solicitations would result in only one offer because no other utility was interested or capable of performing a UESC at these locations.

Option 2: Solicit for four sites under one solicitation and three sites under a second solicitation. This would also result in up to two offers received for four of the locations, and only one offer received for the three of the locations because there was no other utility interested or capable of performing a UESC at these locations.

Both alternate approaches leave three locations with only one utility interested and capable of performing the work at those locations. Soliciting for this requirement using either three separate solicitations that each cover only one location, or one solicitation that covers all three locations will result in only one utility provider proposing on the effort, ComEd. Both alternate approaches shown above do present the opportunity for at least two utility providers to propose on the other four sites; however, there is a significant cost savings to the Government in terms of acquisition and administration costs for awarding one UESC that covers all seven locations.

For a UESC to effectively work, the ECM must produce enough energy savings to offset the costs to finance and implement the ECM. In many instances, one ECM may not be cost effective to implement, even though the ECM is required/needed to upgrade the facilities at the site to make them energy efficient. For small sites like Army Reserve facilities, spreading the cost for implementing the various ECMs across multiple sites/facilities enables the Government to achieve a significant cost savings because those savings are now leveraged across multiple sites/facilities. Procuring lighting or other equipment for seven locations and all the facilities at those locations in bulk versus procuring for a single location or facility can achieve significant cost savings for the customer. Additionally, small projects tend to increase the risk of not obtaining enough energy savings to cover the finance payments, thus financial institutions tend to look upon smaller projects negatively such that many utility providers find it difficult to secure the financing needed for the project, or the interest rates they receive are such that it is not feasible or reasonable to proceed with the project. While it is not known until the PA is complete for each site, the PA may show that at one or more locations, only one ECM may be required versus multiple ECMs at the same location. Grouping the seven locations under one award increases the ability for a utility provider to obtain better financing, lower material costs, and achieve higher energy savings opportunities across multiple ECMs. The likelihood of achieving higher energy savings also assures the financier that they will receive their investment costs back because the utility provider will achieve a significant energy savings across the entire project. Pursuing this requirement using multiple single site solicitations instead of all sites under one solicitation would cause the utility to lose the ability to leverage the energy savings obtained by the multiple ECMs across the multiple locations under one task order. As a result, this alternative is not in the Government's best interest when compared to the proposed single UESC task order solution.

d. Impact if J&A is not approved:

If this J&A is not approved and the services are not performed, the 88th USARRD would be unable to implement these ECMs using a third party financed energy savings contract and would be required to wait for appropriated funds to execute the requirement under a traditional contract. Alternatively, they would have to reallocate appropriated program funding and resources to cover the full capital investment needed for each ECM executed under a traditional contract. If the 88th USARRD had the appropriated funds, a fixed priced service contract would be issued and the UESC would not be pursued. Additionally, the installation would not benefit from cost savings available through implementation of multiple ECMs associated with this UESC project. The purpose of doing these upgrades with a UESC is to leverage the multiple possible ECMs and combine their respective savings contributions into a more comprehensive energy management effort for the 88th USARRD, thereby ensuring their ability to meet their energy savings and resiliency goals.

6. Efforts to Obtain Competition: To obtain competition, CEHNC engaged with industry using several techniques which included Requests for Information, a Sources Sought Notice (SSN) on SAM.gov, and Letters of Interest (LOI) to utility providers in the state of Illinois. Please see detailed results from these efforts in paragraph 8.

a. Effective Competition:

The market research (detailed below in Section 8) indicates only one utility is eligible to perform work at all seven sites, ComEd. At least one other utility company, Southern Gas Company/NICOR (NICOR), can provide services to 4 of the 7 individual locations, they did not have the capability to provide the required services across all 7 locations under one contract. To the extent that any competition under the proposed acquisition may be possible, it will be among potential subcontractors and CEHNC will concentrate its effort to obtain subcontractor competition.

b. Subcontracting Competition:

In accordance with FAR Subpart 19.7, DFARS 252.219-7003, and FAR Subpart 52.219-9, Small Business Subcontracting Plans (SBSP) are required in solicitations and contracts that offer subcontracting possibilities which are expected to exceed $750,000.00 ($1.5 million for construction). SBSP compliance for the 88th USARRD UESC task order will be monitored through ComEd's annual submission of its commercial SBSP showing the total subcontracted dollars for GSA Areawide Contract # GS-00P-16-BSD-1205.

7. Actions to Increase Competition: The potential providers list for a UESC is limited by statute to the servicing water, natural gas, and electric distribution utilities. Because the potential contractors are limited to utilities, the market research required by the FAR is met by surveying the interest of the site's servicing utilities. It is current practice to send a letter, often done via email, to the local utilities to inquire about interest, experience, capabilities, and to meet with the CEHNC acquisition team to present those capabilities. This information is also requested from the Deputy of Public Works (DPW) that support the 88th USARRD, and the state Public Utilities Commission. CEHNC also issued a Sources Sought Notice (SSN) and posted a Request for Information on SAM.gov.

8. Market Research: Market research was conducted from 20 May 2024 to 24 June 2024 for the 88th USARRD in the greater Chicago, IL area to determine the eligible servicing utilities. The market research detailed below depicts the current efforts related to vetting the eligible utilities at each location to determine their interest in performing a UESC project. To be eligible to perform a UESC, the utility must be an existing service provider to the installation where the work will be completed; ComEd was the only eligible servicing utility for all seven locations. Southern Gas Company/NICOR was only capable of serving 4 of the 7 locations. The notices required by FAR 5.201 will be published prior to release of a sole source award to ComEd. Any proposals received in response to these notices will be considered. Table 3 below shows Industry Engagement details, including Dates of Engagement (DOE) and Dates of Response (DOR):

Table 3: Summary of Engagement with Industry:

Industry Engagement	DOE	DOR
Ameren Services Company	22May2024	N/A
Commonwealth Edison Company	22May2024	11Jun2024
Southern Gas Company/NICOR	22May2024	28May2024
Sam.gov	31May2024, 18Jun2024	31May2024- 14Jun2024
88th USARRD DPW	22May2024	22May2024
Illinois Public Commissions	22May2024	13Jun2024

LOI	SSN	RFI

9. Interested Sources: CEHNC received replies to the Letters of Interest (LOIs) indicating interest from Southern Gas Company/NICOR (NICOR) and ComEd. NICOR currently services only four of the seven sites, and therefore could not meet the full requirement needed by the Government as they do not service all seven of the customer's locations. Ameren Services Company did not respond. The sources sought notice issued on SAM.gov did return four other interested sources; however, none of these entities are utility providers and therefore are ineligible to execute a UESC. ComEd is the only utility provider that is interested and eligible to perform a UESC at all seven of the locations identified in Table 2. Market research will remain ongoing to continually review the market for new utility providers who perform UESCs and are approved by the Federal regulatory commissions and state and local commissions.

10. Other Facts:

a. Procurement History (Contract numbers and dates of the last several contracts for these same requirements): Not applicable (N/A). There is no prior procurement for the 88th USARRD sites.

(1) Contract numbers and dates of the last several contracts for these same requirements: N/A

(2) The competitive status of these actions: N/A

(3) Authority previously cited if less than full and open competition was used: N/A

(4) If a justification was prepared to support the procurement made before this one, a summary of the contents of paragraph 7 of the justification for that procurement and an explanation of the results: N/A

(5) If any prior contract for this requirement was accomplished using full and open competition, include a detailed explanation of the changed circumstances causing this action to now limit the sources: N/A

(6) An explanation of any unusual patterns that may be revealed by the history, e.g., several consecutive, urgent buys: N/A

(7) If a justification was prepared to support the procurement made before this one, briefly describe the circumstances justifying the procurement and whether there have been any significant changes: N/A

b. Other facts: Subcontractor Competition: ComEd is required to report through the Electronic Subcontracting Reporting System its progress towards meeting contracting goals in its commercial plan to the GSA Contracting Officer administering its GSA AWC. ComEd will be required to provide an annual report on how it utilizes small business under this action.

11. Technical Certification: "I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief."

[redacted] [redacted]

12. Requirements Certification: "I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief."

[redacted] [redacted]

13. **Fair and Reasonable Cost Determination:** I hereby determine that the anticipated price to the Government for this contract action will be fair and reasonable. The basis for this determination is by price analysis through a comparison to the Independent Government Estimate IAW FAR 15.404-l(b)(2)(v) and a comparison of historical pricing information retained by the UESC Program over more than a decade of executing UESCs, IAW FAR 15.404-1(b)(2)(ii). Historical price analysis will include comparing proposed pricing data to historical prices for the same or similar elements, such as project rates, indirect and profit rates, cancellation fee percentages, etc. IAW FAR 15.403-l(b)(3), "The contracting officer shall not require certified cost or pricing data to support any action (contracts, subcontracts, or modifications) but may require data other than certified cost or pricing data as defined in FAR 2.101 to support a determination of a fair and reasonable price, when a commercial product or commercial service is being acquired."

Name: Lisa L. Steenburn
Title: Contracting Officer

Signature: STEENBURN.LISA.LYNN.1058138955 Digitally signed by STEENBURN.LISA.LYNN.1058138955 Date: 2025 03 24 07:47:41 -05'00'
Date: 24 Mar 2025

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Name: Lisa L. Steenburn	Signature: STEENBURN.LISA.LYNN.1058138955 Digitally signed by STEENBURN.LISA.LYNN.1058138955 Date: 2025 03 24 07:47:56 -05'00'
Title: Contracting Officer	Date: 24 Mar 2025

Approval

Based on the foregoing justification, I hereby approve the procurement of the UESC Task Order for the 88th USARRD for Chicago, IL, with an estimated total ROM value of [redacted] on an other than full and open competition basis pursuant to the authority of 10 U.S.C. 3204(a)(l) as implemented by FAR 6.302-1 "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements," subject to availability of funds, and provided that the services herein described have otherwise been authorized for this acquisition.

[redacted]